

milk—and turns them into a branded consumer good that commands a premium price, earning high margins as it does so. The other possible business model—a low-cost business with a production advantage, which earns low NOPAT margins on high invested capital turnover—was underrepresented in the businesses that sustained high return on capital over the 2000 to 2010 period. He gives as an example of this business model the “classic discount retailer, which doesn’t make much money per unit sold (low margins) but enjoys great inventory velocity (high turnover).”<sup>28</sup>

Mauboussin’s research into the drivers of sustainable high returns on capital was comprehensive, but yielded little that helps us to predict which businesses will earn persistently high returns on capital in the future. All that we do know is that while some businesses do generate persistently high or low returns on invested capital, most businesses exhibit a strong tendency toward mean reversion. A good industry and a consumer advantage tilt the odds in favor of sustainability, but it’s still not conclusive. Quoting Michael Porter, Mauboussin observes:<sup>29</sup>

*It is impossible to infer the cause of persistence in performance from the fact that persistence occurs. Persistence may be due to fixed resources, consistent industry structure, financial anomalies, price controls, or many other factors that endure . . . In sum, reliable inferences about the cause of persistence cannot be generated from an analysis that only documents whether or not persistence occurred.*

Here is the simple truth: mean reversion is pervasive, and it works on financial results as it does on stock prices. On average, super-normal returns on capital revert to the mean. Only special cases avoid mean reversion, and the factors that separate the also-rans from the special cases are impossible to identify prospectively. Without Buffett’s genius for business analysis, we should be very wary of models that justify an elevated intrinsic value by a very high return on invested capital or a very high rate of growth. They are seductive because they allow us to fit a glamour stock into a value framework. The problem as Graham saw it, is that growth is too difficult to value:<sup>30</sup>

*To my mind the so-called growth-stock investor—or the average security analyst for that matter—has no idea of how much to pay for a growth stock, how many stocks to buy to obtain the desired return, or how their prices will behave. Yet these are basic questions. That’s why I feel the growth-stock philosophy can’t be applied with reasonably dependable results.*